decided to put an end to the Maratha challenge to their supremacy in India. The British divided the mutually warring Maratha *sardars* through clever diplomacy and then overpowered them in separate battles during the second Maratha War, 1803–05, and the Third Maratha War, 1816–19. While other Maratha states were permitted to remain as subsidiary states, the house of the Peshwas was extinguished.

Thus, the Maratha dream of controlling the Mughal empire and establishing their own empire over large parts of the country could not be realised. This was basically because the Maratha empire represented the same decadent social order as the Mughal empire did and suffered from the same underlying weaknesses. The Maratha chiefs were very similar to the later Mughal nobles, just as the *saranjami* system was similar to the Mughal system of jagirs. So long as there existed a strong central authority and the need for mutual cooperation against a common enemy, the Mughals, they remained united in a loose union. But at the first opportunity they tended to assert their autonomy. If anything, they were even less disciplined than the Mughal nobles. Nor did the Maratha *sardars* try to develop a new economy. They failed to encourage science and technology or to take much interest in trade and industry. Their revenue system was similar to that of the Mughals as also was their administration. Like the Mughals, the Maratha rulers were also mainly interested in raising revenue from the helpless peasantry. For example, they too collected nearly half of the agricultural produce as tax. Unlike the Mughals, they failed even to give sound administration to the people outside Maharashtra. They could not inspire the Indian people with any higher degree of loyalty than the Mughals had succeeded in doing. Their dominion, too, depended on force and force alone. The only way the Marathas could have stood up to the rising British power was to have transformed their state into a modern state. This they failed to do.

Social and Economic Conditions of the People

India of the eighteenth century failed to make progress economically, socially or culturally at an adequate pace. The increasing revenue